Scalping Strategy with Directional Movement Index

Time Frame - 5 Minutes
Write a pine script v5 for Creating an indicator which generates Buy/Sell and Exit Signals for tradingview.

Rules are as follows:

Indicator - Directional Movement Index

Setting - ADX Smoothing = 14
DI Length = 9

Long Entry Condition:

1. ADX line should be above 20 or crossover 20 from, whichever applies first.
2. +DI line should crossover -DI line, then crossover 25 levels.

Note: Either of these conditions could take place first, but entry is confirmed when both conditions are met.

Exit Condition For Long Entry:

1. +DI line should cross under the 25 level.

Short Entry Condition:

1. ADX line should be above 20 or crossover 20 from, whichever applies first.
2. -DI line should crossover +DI line, then crossover 25 level.

Note: Either of these conditions could take place first, but entry is confirmed when both conditions are met.

Exit Condition for Short Entry:

1. -DI line should cross under the 25 level.

Note: While trading options, it is better to exit after making 10% of the capital, as the indicator based exit condition might cause decay in the premium.

Exceptions:

1. If the market opens Gap or Gap Down, then the above mentioned conditions do not apply. Wait for the next signal for that day.
2. After a strong move, the ADX line rises higher, and thereafter it comes down at a slow and steady rate. Therefore, next signal soon after the strong move should not be counted as a valid signal as ADX is dropping to the bottom.

How to trade options with this strategy

- Option buying has been extensively backtested with this strategy in a 5 minutes time frame.
- To buy a naked option, trader needs to look for a strike price worth Rs. 100 and buy 1 lot on the side signaled by the indicator.
- Keep the target at 10% of the capital deployed for the trade (10 points for 5000), as the indicator based exit condition might cause theta decay.
- Keep the risk to reward ratio at 1:1, means the target should be 10% and stoploss should also be 10%. (Keeping the bigger stoploss will curb it from hitting it frequently as Option delta is volatile and improve the win rate eventually.)

How to trade equity with this strategy

- An exit signal generated as per the rule mentioned above will act as both a target and a stoploss. (If the move is bigger, then it will provide a good profit, or else if price doesn’t move in the direction signaled by the indicator, indicator will instantly signal to exit, which would be the stoploss.